

Private Car Inflation Analysis



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Problem we have & our objective

What problem we are solving?

OEMs increase their Part and Labour Rates

Few OEMs update us on Labour Price Hikes

No Update on Part Price Revision

What we want to build

Model to tackle
Inflation immediately

At what level we are capturing Inflation

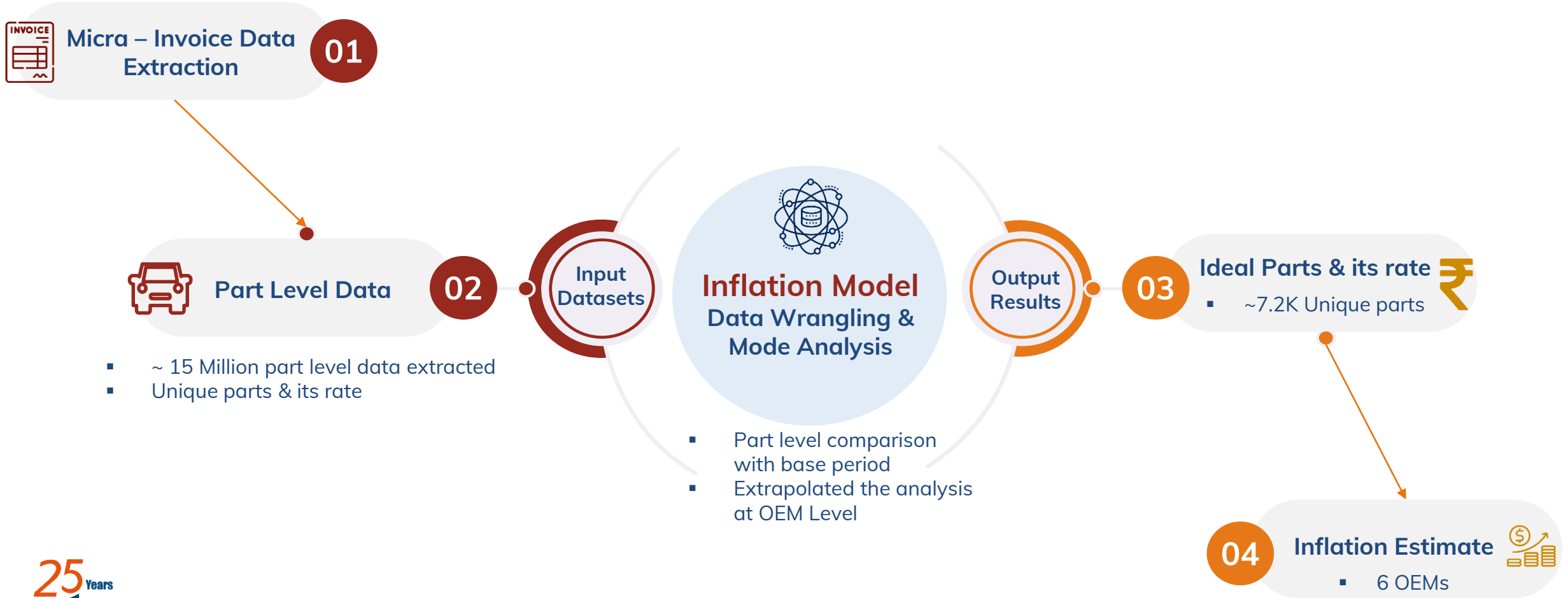
- Part contributes to ~**60%** of the outflow; Labour contributes **40%**
- **Detailed** analysis of Part and Labour to find **where inflation impacts**
- OEMs have **Unique Part Number** for each part which varies at **Variant** level of car
- E.g.: **Swift VXi condenser assembly** Part Number is **95310M55R00**

Claim Outflow

**Part Outflow
(60%)**

**Labour Outflow
(40%)**

Inflation model



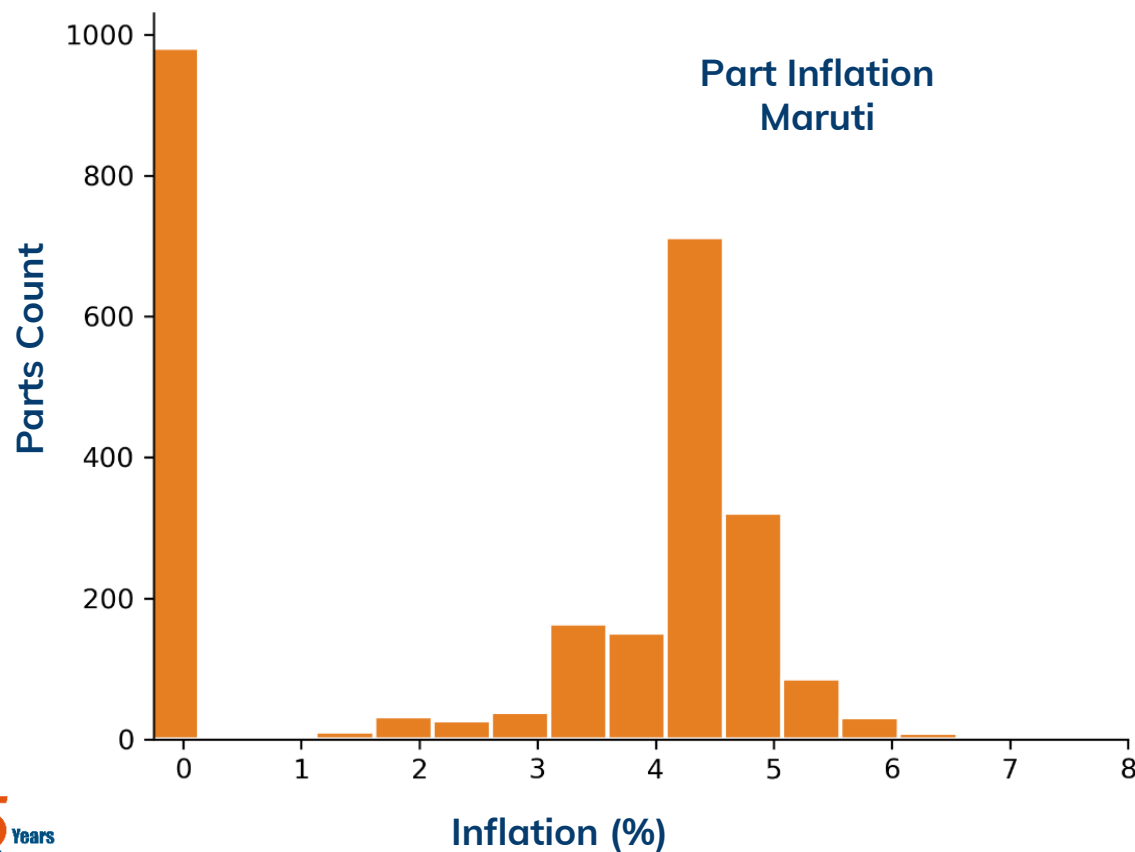
Part Outflow vs Labor Outflow: OEM wise

OEM	Part	Labour	Unique Parts
MARUTI	46%	54%	2790
HYUNDAI	56%	44%	1570
TOYOTA	74%	26%	1075
TATA	60%	40%	250
MAHINDRA	46%	54%	870
HONDA	48%	52%	600
TOTAL	60%	40%	7155

Part Inflation in OEMs

OEM	May	June	July	Aug	Sept	Oct	Nov	YTD Nov
MARUTI	1.2	2.4	-	-	-	-	-	3.6
HYUNDAI	-	-	-	-	-	0.3	-	0.3
TOYOTA	-	-	1.5	0.2	-	-	-	1.9
TATA	-	-	-	-	-	-	-	-
MAHINDRA	-	0.1	0.2	4.6	-	-	-	5.0
HONDA	-	-	-	0.1	0.1	-	-	0.2

Deep dive of Maruti



- **700+ Parts** have Inflation in **4% – 4.5%**
- **~1000 parts** observed **0% inflation**
- The weighted average of part inflation led to **3.6% Inflation YTD** in Maruti

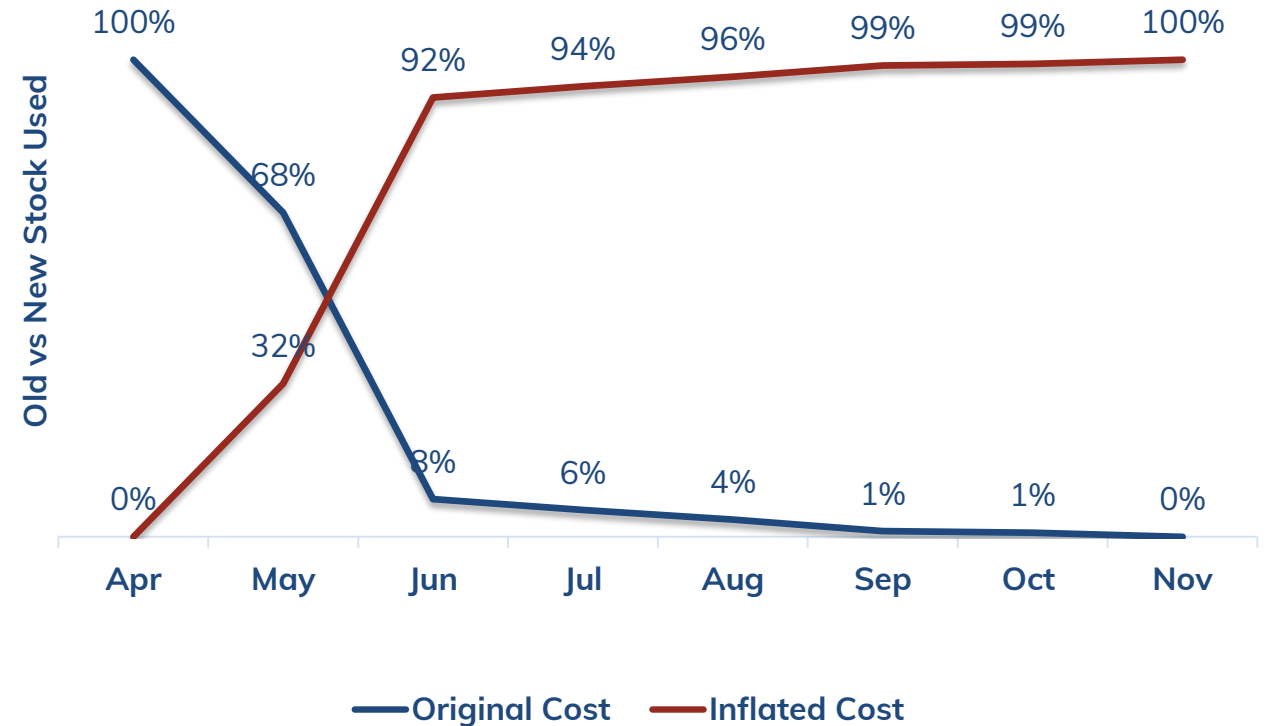
Inflated Cost Comparison: Then vs. Now

- Considered Condenser Assembly of Swift VXI which is impacted by Inflation



- Old Cost – **3566** and Inflated Cost – **3710**
- Inflation triggered in **May** but only **32%** parts replaced at Inflated cost
- By **June**, Inflated amount dominated and **92%** of the replacements were at inflated cost

Transition of Inflated Cost in Part



Capturing Inflation in Labour

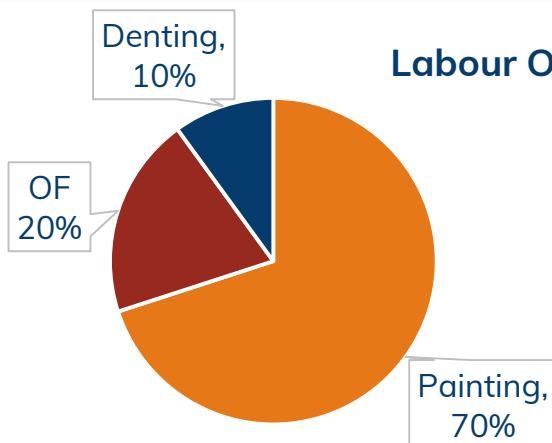
- Labour Cost consists of **Painting, Denting and Opening Fitting Charges**
- ~**70%** of the cost is due to Painting
- OEMs provide **Painting Schedule** for each Variant at Part level
- Tracked **Actual Labour Outflow Inflation**

Claim Outflow

Part Outflow
(60%)

Labour Outflow
(40%)

Labour Outflow



Labour Inflation

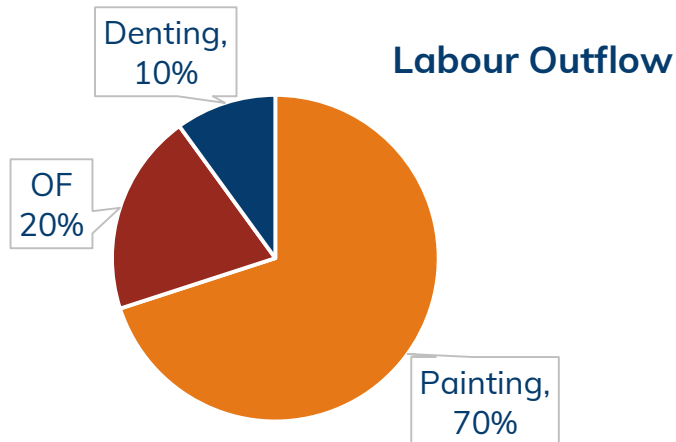
25 Years
ONEIL
Team

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Inflation in Labour Components

- Labour Cost consists of **Painting, Denting and Opening Fitting Charges**
- ~**70%** of the cost is due to Painting
- OEMs provide **Painting Schedule** for each Variant at Part level
- Tracked **Actual Labour Outflow Inflation**

OEM	Painting Inflation YTD	OF Inflation YTD	Denting Inflation YTD
Maruti	7.8%	2.2%	7.2%
Hyundai	0.1%	-1.6%	3.4%
Toyota	3.2%	2.0%	0.0%
Tata	0.6%	3.7%	-0.2%
Mahindra	-3.1%	-2.1%	4.4%
Honda	3.0%	1.0%	-2.2%
Total	4.3%	1.2%	4.3%



Labour Inflation

- Painting, Denting, OF leads to Actual Labour
- **Labour Inflation** is analyzed at Variant's Part level for different **city categories**
- Inflation in Labour is compared against the OEM Schedule

OEM	Actual Labour YTD	Schedule Inflation YTD
Maruti	7.9%	10%
Hyundai	-1.0%	0%
Toyota	3.1%	5%
Tata	-0.2%	0%
Mahindra	-2.6%	0%
Honda	2.6%	5%
Total	4.0%	5.8%

Identified High-Variant Part in Low-Variant

Case Example: Venue 12 Plus

- Cost of actual Rear bumper Upper: **2100**
- Cost of higher variant Part used: **2864**
- Problem Identified: Higher Variant Part Installed
- Action taken: Payment Hold till Clarification & response

Dear Kamlesh

Action Initiated

For the said claim you have approved below parts. Going through it is found that garage person selected higher variant's part no for this claim.

For this model Actual part no & price is:-

CLAIM_NO	OEM	MODEL_NAME_CLEANED	sub_part_name	MFG_YEAR	IDEAL_PART_NUMBER	IDEAL_PART_RATE	Master_Remarks
MOT16949703	HYUNDAI	VENUE12PLUSOPTION	BUMPER REAR UPPER	2024	86611K3500	2100	COVERRR BUMPER

And garage person charged in Invoice:-

CLAIM_NO	OEM	MODEL_NAME_CLEANED	sub_part_name	MFG_YEAR	PART_NUMBER	PartRate	Remarks
MOT16949703	HYUNDAI	VENUE12PLUSOPTION	BUMPER REAR UPPER	2024	86610K3000	2864	COVERRR BUMPERUPR FOZW95

And difference amount is **764** which is he charging extra from us. There are three previous claim nos for the same make & model where same part is charged as per us are below.

MOT16542980, MOT16528904, MOT16504282

So you are suggested kindly look into it and correct the part amount in assessment.

WRONG PART ISSUE IN INVOICE RJ59CA 9252

Summarize

Response Received

RS

Ravi Saini <bodyshopjh@crosslandgroup.in>

To: Kamlesh Pareek /CS/ICICILOMBARD/JPR



[External Email Warning: Do not click on any attachment or links/URL in this email unless sender is reliable]

DEAR SIR,

AS PER OUR TELEPHONIC DISCUSSION, IN THE FINAL INVOICE OF SUBJECTED VEHICLE BY MISTAKE WRONG PART NUMBER ISSUED.

ISSUED PART NO/AMT – 86610K3000 / (2863.56/-)
ACTULE PART NO/ AMT – 86611K3500 / (2100/-)

Outcome



Real-time inflation triggers to proactively manage loss ratios through timely feedback to UW and Actuarial



Abnormal inflation detection at variant level to identify IDV & Inflation difference anomalies



Part manipulation identification to enhance cost control and improve bottom-line efficiency

Thank You



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